

Prepay Is the Way

Most banks will allow for the prepayment of your loan. If they don't, then this method is not for you, so just be sure to find out. That is the only thing to be aware of. If you cannot find the sentence on your home mortgage contract about prepayment, simply call and ask your lender. If, for some reason, your current loan does not have the prepayment option, ask for it. We have learned a lot about the power of asking! Very often, a simple question proves to be a great debt cure!

If you are taking out a new home loan or refinancing your current mortgage, check and be sure that you have this ability to prepay before signing on the dotted line. If, for some reason, the mortgage company says “no” to the prepayment option, find a new lender. There are a lot of banks and lending institutions out there. Don't get stuck with a 30-year mortgage and not have this exciting option!

No matter how great your interest rate is, this method can save you an unbelievable amount of money!

Use any of the techniques stated above and that 30-year mortgage can be gone in half that, or even less. That is worth having a “let's burn the mortgage” party! Owning a home is the American dream. Having your home paid off in half the time is better than a dream!

Ever heard of a mortgage accelerator loan? These loans use special accounts to encourage borrowers to apply all extra money toward their mortgages. The savings can be huge!

If you'd like to pay off that mortgage, but you lack the discipline to do so, a mortgage accelerator loan may be a great idea for you! All you have to do is refinance your home and set up an equity line of credit. Once this is in place, you're halfway there. The final step is to arrange it so that your paychecks from work are directly deposited into your new credit account. It is much like your regular checking account, with one distinct advantage: the money in the account reduces the balance of the mortgage, and any money not paid for bills is applied against the principal balance.

With this special loan, your principal balance is decreased, and you end up saving bundles of interest! So, in essence, the paycheck goes toward paying off the house.